KERALA STATE ELECTRICITY REGULATORY COMMISSION THIRUVANANTHAPURAM

Petition No: IA 01/25 & OP 05/2025

Present : Sri T K Jose, Chairman
Adv. A J Wilson, Member
Sri. B Pradeep, Member

In the matter of	**:**	**Petition for approval of truing up of accounts for the financial year 2023-24**
Petitioner	:	M/s Cochin Port Authority
Represented by	:	Sri. Ajith Kumar D, SE (Electrical) CoPA Smt. Jayalekshmi, EE (Electrical) CoPA Smt. Surya Madhu, Senior Accounts Officer, CoPA
Respondent	:	M/s Kerala State Electricity Board Limited
Represented by	:	Sri. Edward P Boniface, AEE, TRAC KSEB Ltd Sri. Shyjesh N.K, AFO, TRAC KSEB Ltd Smt. Biji Christudas, AEE, TRAC KSEB Ltd
Hearing	:	23.04.2025
Venue	:	Court Hall, Office of the Commission

Order Dated: 18-06-2025

1. M/s Cochin Port Authority formerly known as Cochin Port Trust (hereinafter referred to as the licensee or the petitioner or CoPA) is a deemed distribution licensee under the proviso to Section 14 of Electricity Act 2003. The Commission vide Order dated 18.01.2010 in exercise of the powers conferred on it by Section 14 of Electricity Act 2003, granted permission to the licensee to extend its power distribution area to the Special Economic Zones at Vallarpadam and Puthuvypin in Ernakulam District, Kerala State. The Distribution Business Unit of the licensee performs the distribution of electricity across the entire W/Island area, Vallarpadam and Puthuvypin areas. The licensee is having 2 power drawal points, one at Willington Island area under 110kV system with contract demand of 6500 kVA and another at Vallarpadam SEZ area under 11 kV with contract demand of 3000 kVA.

2. The Commission had notified the KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021 for the five-year Control Period starting from the first day of April 2022 and ending on the thirty first day of March 2027.

The licensee has filed the petition for truing up of accounts for the year 2023-24 as per the provisions of the Tariff Regulations 2021. The present petition is for the second year of the Control Period.

3. As per the provisions of the Tariff Regulations, the petition for truing up of accounts for each year of the control period is to be filed before 30th November. The petition for truing up of accounts for the year 2023-24 is to be filed before 30th November 2024, whereas the petition was filed only after a delay of 54 days. The licensee has stated that the delay was on account of shortage of staff. The licensee has submitted that there is shortage of experienced officer (s) and staff(s) for doing truing up petition works due to transfer of officer(s) & staff(s) and non filling of vacant posts. Thus CoPA had engaged Consultant for filing truing up petition for the FY 2023-24. Work order was issued to M/s Institute for Sustainable Development and Energy Studies (InSDES), Shornur. But they had not prepared the truing up petition and informed that they require more time. Hence CoPA has requested for extension of time for one month upto 31/12/2024 for filing the truing up petition. But the Consultant had not done the work even after 31/12/2024 and requested for extension of time up to 31/01/2025. CoPA was forced to prepare the petition with available staff and completed the work in order to avoid further delay.

4. Commission vide Order dated 26.11.2024 in OP 81/2024 has ordered to revise the fixed assets register with assets addition made during 2019-20 and 2020-21 with the depreciation for the same assets addition and submit the revised claim for 2022-23 in the next Truing Up Petition. This exercise also required considerable time and to get it approved by the Chartered Accountants. The licensee has prayed before the Commission to kindly condone the delay in filing the truing up petition of Cochin Port Authority for the FY 2023-24. Commission after duly considering the petition for condonation of delay and the reasons mentioned therein condones the delay and admitted the petition as OP 05/2025

5. The Commission vide Order in OP No.54/2022 dated 26.02.2024 has approved the ARR&ERC for the Control Period. In the present petition for truing up the accounts, the licensee has claimed a revenue surplus of Rs.664.42 lakh compared to revenue gap of Rs.98.76 lakh approved by the Commission in the Order on ARR&ERC. A comparison of the claim made in the present petition with the ARR&ERC approved by the Commission and with the previous year is tabulated below.

Table 1
Comparison of projected ARR&ERC and actuals of 2023-24 (Rs. lakh)

Particulars	ARR Projection	Approved	Truing up petition
Cost of own power generation/power purchase	2951.30	2967.04	2859.68
Employee Expenses	553.00	458.18	456.24
Administration & General Expenses	73.38	85.45	76.11
Repair & Maintenance Expenses	39.56	33.76	32.73
Depreciation	137.35	192.70	98.88
Interest and finance charges on long term loans	525.98	468.58	24.93
Interest on Working Capital	32.00	28.35	(2.80)
Interest on consumer security deposits and deposits from Users of the distribution system	16.59	23.05	38.44
Return on Equity /Net Fixed Assets	112.07	65.74	112.75
Any other Item		-	3.54
Total Expenditure	**4441.23**	**4322.85**	**3700.50**
Revenue from Sale of Power	4018.98	4018.98	3969.16
Other Income	21.74	205.11	61.23
Prior period income		-	334.53
Total Income	**4040.72**	**4224.09**	**4364.92**
Revenue Surplus/Gap	**-400.51**	**-98.76**	**664.42**

Table 2
Comparison of truing up of accounts over the years (Rs. lakh)

Particulars	2021-22		2022-23		2023-24
	Truing Up Petition	Trued Up	Revised Truing Up Petition	Trued Up	Truing Up Petition
Purchase of Power	2533.28	2479.13	2551.87	2550.67	2859.68
Employee Expenses	635.10	419.94	447.09	551.40	456.24
A&G Expenses	63.59	63.59	74.79		76.11
R&M Expenses	24.57	23.48	35.23		32.73
Depreciation	134.47	-	80.30	135.37	98.88
Prior Period Depreciation	-	-	-	116.47	-
Interest on long term loans	39.26	-	25.29	14.51	24.93
Prior Period Interest and finance charges on long term loans	-	-	-	29.20	-
Interest on working capital	6.74	5.12	7.22	6.89	(2.80)
Interest on consumer security deposits	22.24	22.24	21.87	21.87	38.44
Return on NFA	67.02		104.83	115.94	112.75
Prior Period RoNFA	-	-	-	69.51	-
Any other Item	-	-	70.95	-	3.54
Total Expenditure	**3526.29**	**3013.50**	**3419.44**	**3611.83**	**3700.50**
Revenue from Sale of Power	3341.83	3341.83	3471.85	3471.85	3969.16
Other Income	42.66	205.29	45.34	238.84	61.23
Prior period income	-	-	-	-	334.53
Total Income	**3384.49**	**3547.12**	**3517.19**	**3710.69**	**4364.92**
Net Surplus/(Deficit)	**(-)141.80**	**533.62**	**97.75**	**98.86**	**664.42**

Hearing on the Petition

6. The Commission had admitted the petition as OP 05/2025 and the hearing on the petition was conducted at the Court Hall, Office of the Commission on 23-04-2025. Sri. Ajithkumar D, Superintending Engineer (Ele), Smt. Jayalakshmi S, Executive Engineer (Ele), Smt. Surya Madhu, Senior Accounts Officer and other officers represented for the petitioner. Smt. Jayalakshmi S, Executive Engineer (Ele) briefed the details of the petition and responded to the queries of the Commission. The main points discussed during hearing are briefed below.

   a. The number of consumers during 2023-24 is 1288 and the energy sale is 394.59 lakh units.

   b. The total energy purchased from KSEB Ltd for the year is 401.22 lakhs units and the power purchase cost for the year claimed in the petition is Rs.2859.22 lakh. The distribution loss for the year 2023-24 is 2.31% which is lower than the distribution loss of 2.43% approved in ARR&ERC for the year 2023-24.

   c. The O&M expenses claimed for the year is lower than the norms approved by the Commission. The total O&M expense claimed is Rs. 565.08 lakh as against the approved norms of Rs.577.39 lakh

   d. Employee cost claimed for the year is Rs.456.24 lakh which includes terminal benefits at the rates prescribed by the Government of India. The actual number of employees for the year is 45 nos.

   e. The A&G expense claimed for the year is Rs.76.11 lakh. The major expense booked under the A&G expense is for security arrangements (Rs.48.79 lakh) and electricity charges (Rs.10.65 lakh).

   f. The R&M expenses claimed for the year is Rs.32.73 lakh.

   g. The licensee has claimed an amount of Rs.24.93 lakh as the interest charges on long term loans, (-) Rs.2.80 lakh for interest on working capital and Rs.38.44 lakh as the interest on security deposit for 2023-24.

   h. The depreciation claimed for the year 2023-24 is Rs.98.88 lakh and Rs.112.75 lakh is claimed as return on net fixed assets @ 5.5%.

   i. Revenue from sale of power is Rs.3969.16 lakh and the Non-Tariff Income claimed is Rs.61.23 lakh. The licensee also claimed Rs.334.53 lakh as prior period income being income from sale of energy in march 2023.

   j. The licensee in the petition for truing up of accounts for 2023-24 has claimed a revenue surplus of Rs.664.42 lakh as against a revenue gap Rs.98.76 lakh approved in ARR Order.

7. KSEB Ltd had filed their counter statement/comments vide letter No. KSEB/TRAC/GN/CoPA/2025-26/85 dated 23.04.2025. The major points raised by KSEB Ltd are the following:

   a. Total number of consumers and sales has increased compared to previous year, but the revenue realized is seen decreased when compared to 2022-23.
   b. The T&D loss is within the approved limits. There is a discrepancy in the sales units when comparing details in form D2.1 and form D7.2.
   c. The quantum of energy purchased and cost of purchase for 2023-24 claimed by the licensee tally with the records of KSEBL.
   d. The O&M expenses claimed in the petition is lower than the approved cost. As per Regulation 14 of the Tariff Regulations 2021, the aggregate gain on the controllable parameters is to be shared in the ratio 2:1 ie, 2/3rd gain is to be retained by the licensee and 1/3rd is to be passed on to the customers.
   e. Depreciation may be allowed only after verifying the asset details and exercising prudence checks.
   f. The licensee has claimed Rs. 38.44 lakh as interest on consumer security deposits. The Commission may verify if this amount was actually disbursed to consumers during the financial year.
   g. RoNFA may be allowed @5.50% of net fixed asset as reduced by consumer contribution at the beginning of the financial year.
   h. Interest on accumulated surplus of the licensee is to be treated as part of non-tariff income as the licensee has not claimed the same.

8. M/s CoPA vide letter dated 13.05.2025 submitted their counter to the comments made by KSEB Ltd which are briefed below;

   a. With regard to reduction in revenue realization, it was submitted that the reduction may be on account of consumers not consuming electricity in proportion to their contract demand and energy consumption being very low for certain consumers.
   b. Submitted that they have considered the exported units along with the billed units for getting the actual sold units.
   c. With regard to interest on security deposit, it was submitted that the amount of Rs. 38.44 lakh was disbursed on May 2024.

Analysis and Decision of the Commission

9. The Commission has carefully considered the petition for Truing up of Accounts for the year 2023-24, the views presented by the licensee during hearing and the counter statements furnished by the KSEB Ltd as well as the replies thereto furnished by the licensee. The analysis and decisions of the Commission on the petition for the Financial Year 2023-24 are detailed below.

No. of Consumers & Sale of power

10. The energy sale for the year 2023-24 as per the petition is 394.60 lakh units. A comparison of the actual sale of power for the different consumer categories for the year 2022-23 and 2023-24 is given below.

Table 3
Category wise number of consumers and sales for the year 2022-23 & 2023-24

Particulars	2022-23 Truing Up Petition		2023-24 Truing Up Petition	
	Number of consumers	Units Sold (lakh units)	Number of consumers	Units Sold (lakh units)
LT I	430	8.16	412	9.75
LT II	2	1.02	-	-
LT IV A	2	0.30	15	2.90
LT VI A	12	1.03	12	2.02
LT VI B	26	1.20	24	1.26
LT VI B (G)	19	2.56	108	13.49
LT VI C	7	2.72	8	2.78
LT VI C (G)	12	0.75	13	2.78
LT VI F	4	2.10	6	3.07
LT VIIA Single Phase	273	3.66	285	3.84
LT VIIA Three Phase	199	30.73	251	38.64
LT VII B	57	0.07	53	0.48
LT VII C	1	0.00	1	0.00
LT VIII B - Street Lights	3	0.11	63	2.79
Self-consumption	105	16.37	-	-
Street light – self	1	3.21	-	-
HT I (A) Industry	6	16.65	1	8.21
HT II (A)	1	5.07	6	18.90
HT II B Central Govt	1	3.79	1	4.17
HT IV (A) Commercial	24	196.37	25	229.73
HT IV (B) Hotel	4	60.06	4	49.79
Total	**1189**	**355.93**	**1288**	**394.60**

11. Compared to the previous year, there is increase in the sales and the number of consumers. The major share of the sale (229.73 lakh units) is to the HT IV (A) Commercial category having 25 consumers. Compared to 2022-23, the sales of

HT Category have increased from 281.94 lakh units to 310.80 lakh units. Considering the increase in the sales***, the Commission hereby approves the actual energy sales of 394.60 lakh units as per petition for the purpose of Truing Up of Accounts for the financial year 2023-24.***

Energy requirement and Distribution Loss

12. The total energy input for the year 2023-24 is 404.34 lakh units which includes 401.22 lakh units from KSEB Ltd and 3.13 lakh units from Solar units. The actual distribution loss claimed by the licensee as per the truing up petition for the year 2023-24 is 2.31% which is less than 2.43% approved in the ARR Order. There is reduction in the distribution loss, compared to the actual loss of 3.53% in 2022-23. The details are tabulated hereunder.

Table 4
Comparison of Distribution Loss

Particulars	2022-23			2023-24	
	ARR Approved	Truing Up Petition	Trued Up	ARR Approved	Truing Up Petition
Energy sales (lakh unit)	355.88	356.11	355.93	403.86	395.01
Energy Requirement (lakh unit)	365.12	365.34	365.17	413.92	404.34
Distribution loss (lakh unit)	9.24	9.23	9.24	10.06	9.33
Distribution loss (%)	2.53%	2.53%	2.53%	2.43%	2.31%

13. The Commission examined the submission of the licensee and noted that, total sales for the year is 394.60 lakh units, whereas for computation of distribution loss, the energy sales considered is 395.01 lakh as shown in table above. CoPA vide submission dated 13-05-2025 had further clarified that, the sales unit shown in form D 2.1 is billed units (394.59 lakh units). Billing of prosumers is under Net metering regulation, so exported units have to be added along with the billed units for getting the actual sold units. Actual sales to consumers is 395.01 lakh unit as shown in Form D 7.2. ***The Commission considers the details and the methodology adopted by the licensee and approves the actual distribution loss for 2023-24 as 2.31% as claimed by the licensee. The licensee shall take added efforts to reduce the losses further.***

14. The actual distribution loss for the licensee for the year is 2.31%, whereas the loss approved by the Commission in the ARR & ERC Order for the year 2023-24 was 2.43%. The Commission noted that the licensee has successfully reduced the distribution loss to 2.31% as against the actual distribution loss recalculated by the Commission of 2.57%, though the claim made by the licensee was 2.53% in the year 2022-23.

15. Distribution loss is a controllable parameter as per Tariff Regulations, 2021. Regulation 73(3) clearly specifies the methodology to be considered to account for

any variation between the actual level of distribution loss and the approved level of the distribution loss. The relevant portions of the Regulation are as shown below:

73. Distribution Losses. –

(3) Any variation between the actual level of distribution losses and the approved level of distribution losses shall be dealt with, as part of the truing up of the respective financial year in the Control Period, in the following manner:-

(i) If the actual distribution loss is higher than the approved level of distribution loss for any particular financial year of the Control Period, then the quantum of power purchased corresponding to the excess distribution loss for that financial year, shall be disallowed at the average cost of power purchase for the respective financial year;

(ii) If the actual distribution loss is lower than the approved level of distribution loss for any particular financial year of the Control Period, then the savings in power purchase cost corresponding to the difference in distribution loss for that financial year at the average cost of power purchase for the respective financial year, shall be shared between the distribution business/ licensee and its consumers in the ratio of 2:1;

(iii) Export of power to other states, if any, and the revenue thereof shall be considered by the Commission appropriately, while determining the disallowance on account of excess distribution loss.

15. As per Regulation 73, distribution loss is a controllable item, and its reduction is an efficiency parameter. ***Considering the fact that the licensee has achieved a distribution loss of 2.31% which is better than the approved distribution loss of 2.43% in the ARR&ERC Order,*** the efficiency gain on distribution loss has to be shared in the ratio of 2:1 between the licensee and consumers i.e., 2/3rd of gain is to be retained by the licensee and 1/3rd is to be passed on to the consumers. The approved energy requirement for the year 2023-24 is as shown below:

Table 5
Distribution loss approved for the year 2023-24

Particulars	ARR Approved	As Per Truing Up Petition	Approved in Trued Up
Total Energy Sales (lakh units)	403.86	395.01	395.01
Distribution loss (%)	2.43%	2.31%	2.43%
Energy Requirement (lakh units)	413.92	404.34	404.85
Energy Generated from Solar	3.50	3.13	3.13
Energy Required from KSEB Ltd (lakh units)	410.42	401.21	401.72
Distribution loss (lakh units)	10.06	9.33	9.84

Power Purchase Cost

16. The power purchase cost claimed by the licensee for the year 2023-24 amounts to Rs.2859.68 lakh for the purchase of 404.49 lakh units. The Commission while

approving the ARR&ERC for the year 2023-24 had approved a power purchase cost of Rs.2967.04 lakh. The power purchase cost claimed by the licensee is as shown below:

Table 6
Power purchase cost claimed for the year 2023-24

Particulars	2023-24		
	W/Island	Vallarpadam	Total
Energy purchase (lakh units)	286.48	114.74	401.22
Total Demand charges (Rs. lakh) (A)	266.01	116.80	382.81
Total energy Charges (Rs. lakhs) (B)	1808.32	725.32	2533.64
Incentive (Rs. lakh) (C)	43.53	13.69	57.22
Solar banked units (Rs. Lakh) (D)			0.45
Cost of power purchase (A+B-C+D) (Rs. lakh)	2030.80	828.43	2859.68
Average Power Purchase Cost (Rs. Per unit)			**7.13**

17. As per the details furnished by the licensee, the average power purchase cost for the year 2023-24 is worked out at Rs.7.13/kWh. The actual distribution loss is lower than the approved level of distribution loss, the savings in the power purchase cost corresponding to the difference in distribution loss for that financial year at the average cost of power purchase for the year, is to be shared between the distribution business/licensee and the consumers in the ratio of 2:1. ***Accordingly, the approved power purchase cost for 2023-24 considering the savings on account of reduction in distribution loss is as shown below;***

Table 7
Savings in cost of power purchase due to excess loss reduction over target level for 2023-24

1	Actual distribution loss (In lakh units)	9.33
2	Approved distribution loss (In lakh units)	9.84
3	Savings on distribution loss (2-1) (In lakh units)	0.51
4	Average power purchase cost (Rs. /kWh)	7.13
5	Efficiency gain at average power purchase cost (Rs. lakh) (3*4)	3.64
6	Efficiency gain to be retained by licensee (2/3rd) (Rs. lakh)	2.43
7	Actual power purchase cost (Rs. lakh)	2859.68
8	**Approved power purchase cost (Rs. lakh) (6+7)**	2862.11

18. ***Accordingly, the Commission hereby approves Rs.2862.11 lakh as power purchase cost for the year 2023-24.***

Operation & Maintenance Expenses

19. The Operation & Maintenance expenses include controllable expenses like Employee Cost, Repair & Maintenance Expenses and Administrative & General Expenses. The Commission in the Tariff Regulations, 2021 had approved Cochin Port Trust to recover O&M costs of Rs. 577.39 lakh as per norms specified in the Regulations for the year 2023-24. The licensee in the current petition has claimed Rs.565.08 lakh as O&M expenses for the year 2023-24. The comparison of O&M

expenses with the norms as per Tariff Regulations 2021 and previous years is tabulated below;

Table 8
Details of O&M Expenses for the year 2021-22, 2022-23 and 2023-24 (Rs. lakh)

Particulars	2021-22		2022-23		2023-24	
	Truing Up Petition	Trued Up	Truing Up Petition	Trued Up	As per norms	Truing Up Petition
Employee Expenses	635.10	419.94	447.09	551.40	458.18	456.24
A&G Expenses	63.59	63.59	74.79		85.45	76.11
R&M Expenses	24.57	23.48	35.23		33.76	32.73
Total	**723.26**	**507.01**	**557.11**	**551.40**	**577.39**	**565.08**

20. The O&M expenses for the year 2023-24, claimed by the licensee as per the truing up petition is lower than the claim of the previous year. The Commission has analyzed each of the components submitted by the licensee. The details are given below.

Employee cost

21. The employee cost claimed by the licensee for the year 2023-24 amounts to Rs.456.24 lakh which is less than Rs.458.18 lakh as approved in Tariff Regulations 2021. During the previous year, the licensee had claimed Rs.447.09 lakh. The Commission had approved only Rs.438.64 lakh in line with the Tariff Regulations, 2021. The current year claim of Rs. 456.24 lakh includes Rs.445.99 lakh as salaries and allowances and terminal benefits like pension contribution of Rs.6.30 lakh and leave salary contribution of Rs.3.95 lakh. A comparison of the employee cost for the current year 2023-24 and previous year 2022-23 is shown below.

Table 9
Comparison of Employee cost claimed for the year 2022-23 & 2023-24 (Rs. lakh)

Particulars	2022-23			2023-24	
	Norms Approved	Truing Up Petition	Trued Up	Norms Approved	Truing Up Petition
Employee expenses	438.64	438.52	438.64	458.18	445.99
Add: Terminal Benefits		8.57			10.25
Grand Total	**438.64**	**447.09**	**438.64**	**458.18**	**456.24**
Number of employees	**45**			**45**	

22. As per the petition, the strength of employees deployed for distribution business is 45 persons which was same as in 2022-23. The licensee has reduced the number of employees from 83 in 2018-19 by redeployment and there has been significant decrease in the number. A comparison of the number of employees and the employee cost over the years is tabulated below;

Table 10
Comparison of Number of Employees and Employee cost

Financial Year	No of employees	Employee cost (Rs.lakh)
2023-24	**45**	**456.24**
2022-23	45	447.09
2021-22	45	635.10
2020-21	59	769.47
2019-20	79	811.73
2018-19	83	925.86

23. The licensee in the petition submitted the employee wise split up and the apportionment of the salary considered towards distribution business. The apportionment considered by the licensee is tabulate below.

Table 11
Apportionment of Employee cost considered

Electrical		
Directly involved	100%	35
Officers Directly involved	50%	2
Officers Indirectly involved	25%	2
Directly involved	75%	1
Officer Indirectly involved	10%	1
Directly involved	80%	1
Finance		
Officer Indirectly involved	10%	1
Directly involved	25%	2
		45

24. With regard to the terminal benefits of Rs.10.25 lakh, the licensee has submitted that the Terminal Benefits includes pension contribution of Rs.6.30 lakh @ 18% under old pension scheme for 43 employees and @ 18% under new pension scheme for 2 employees and leave salary contribution of Rs.3.95 lakh @ 11%.

25. The Commission examined the submission of the licensee and noted that, Cochin Port Authority being owned by Government of India and the Salaries, allowances and other benefits to the employees being paid as approved by the Government, and the licensee has achieved sizable reduction in the number of employees deployed in the Electricity distribution business, the Commission considered the efforts taken by the licensee to achieve reduction in the number of employees positively and while truing up the accounts for the year 2022-23 had approved the employee cost of Rs.438.64 lakh as per the norms issued by the Commission. Considering the submissions, the Commission acknowledges the efforts taken by the licensee to achieve reduction in the number of employees and the costs. ***As the actual employee cost being within the norms fixed, the Commission hereby approves the actual employee expenses of Rs.456.24 lakh.***

Table 12
Employee cost approved for the year 2023-24 (Rs lakh)

Particulars	Approved ARR	Truing Up Petition	Trued Up
Employee Cost	**458.18**	**456.24**	**456.24**

Repair and Maintenance Charges

26. The Repair and Maintenance (R&M) expenses claimed by the licensee for the year 2023-24 amounts to Rs.32.73 lakh as against the ARR & ERC approved cost of Rs.33.76 lakh. As per the licensee, Repair and Maintenance costs are the actual costs incurred in respect of electricity distribution business. The claim made by the licensee in their truing up petition is as shown below:

Table 13
Repair and Maintenance expenses claimed for the year 2022-23 & 2023-24 (Rs. lakh)

Particulars	2022-23			2023-24	
	ARR Approved	Truing Up Petition	Trued Up	ARR Approved	Truing Up Petition
Plant and machinery	32.32	35.23	31.81	33.76	32.73
Total	**32.32**	**35.23**	**31.81**	**33.76**	**32.73**

27. The R&M claimed for the year Rs.32.73 lakh which is less than that of the actual R&M expenses claimed for the year 2022-23 Rs.35.23 lakh. The licensee in the petition has submitted the split-up details of the R&M expenses claimed for the year as shown below.

Table 14
Split up of Repair and Maintenance expenses claimed for 2023-24

Particulars	Rs. lakh
HT Bus for MULT RMU LBS	0.11
Bush Seal for MULT RMU	0.11
Painting RMUs at Vallarpadam	0.06
Light fittings at Vpdm switching station	0.07
MCB for battery charger	0.02
Misc works related with Transformer oil replacement in 110 KV transformers.	0.10
Purchase of 110 kV Transformer Oil	2.34
Service wire Al. 2C X 4 Sq.mm.	0.22
Service wire Al. 2C X 6 Sq.mm.	0.31
Service wire Al. 2C X 10 Sq.mm.	0.29
Hand Operated Hydraulic Heavy Duty Crimp	0.10
SIM service charges for SMART Meter for the period from 01/08/2022 to 31/12/2023 (Rs35.00X1485nos. X17 months + GST) Nsoft	10.43
Diesel charges of sky lift and Jeep	3.00
Hiring of cable fault locator of KSEBL- 2nos	0.57

JCB hiring for excavation of cable pit	0.08
JCB hiring for refilling of cable pit	0.04
Hiring Labour for-110 KV PET test on 02-03-2024	0.09
Checking BDV of 110 KV transformr oil	0.02
HT Jointing Kit-4Cx300 Sq.MM	0.53
LT Jointing Kit-3.5Cx185 Sq.MM	0.11
LT Jointing Kit-3.5Cx95 Sq.MM	0.09
LT Jointing Kit-3.5Cx50 Sq.MM	0.05
LT Jointing Kit-3.5Cx25 Sq.MM	0.04
LT Jointing Kit-4Cx16 Sq.MM	0.04
Relay replacement at Vpdm	4.20
Testing of Tranasformer Oil	0.23
Repair of Dubas battery charger-110 KVss	0.92
Purchase safety items for 110 KV sub-station	0.01
Purchase-spares-dubas battery charger 110 kV S/S	0.09
PET test of 110 kV equipments done through KSEBL	4.24
Purchase spares for 110 KV S/S	0.05
Energy Audit and periodic energy account, M/s. Greenserve Energy Management Solutions	0.37
Battery Set,2V,300AH for 110 kV S/S	3.70
Purchase of battery for Sky Lift	0.05
Testing and calibration of measuring equipments	0.06
Total	**32.73**

28. The Commission has gone through the split up of the repair and maintenance expenses submitted by the licensee. It is seen that the licensee has booked the Power Equipment Testing fee for KSEB (Rs.4.24 lakh) and Energy Audit Fee (Rs.0.37 lakh) as part for Repair and Maintenance expenses which should be part of Administrative and General expenses of the licensee. The Commission considers the said expenses of Rs.4.61 lakh as part of Administrative and General Expenses. Considering this, ***the Commission hereby approves Rs.28.12 lakh as the R&M expenses for the year 2023-24 as against Rs.32.73 lakh claimed in the petition.***

A&G Expenses

29. The licensee in the petition for truing up has claimed an amount of Rs.76.11 lakh as against the approved amount of Rs.85.45 lakh as per the norms fixed in the Tariff Regulations 2021. The Administration and General Expenses are taken on a proportionate basis i.e. a percentage of total expenses incurred. A comparison of the actual claim of the licensee for the year 2023-24 with previous year's is tabulated below.

Table 15

Comparison of A&G Expenses claimed for 2022-23 & 2023-24 (Rs. lakh)

Particulars	% of expense	2022-23			2023-24	
		Norms Approved	**Truing Up Petition**	**Trued Up**	**Norms Approved**	**Truing Up Petition**
Rent Rates & Taxes	1%	81.81	6.28	78.21	85.45	6.56
Insurance			0.66			0.76
Telephone & Postage, etc.	2%		0.28			0.24
Legal charges	1%		0.68			0.55
Audit Fees	1%		0.95			1.12
Conveyance	1%		0.37			0.43
Vehicle Hiring Expenses Truck / Delivery Van	1%		1.30			1.53
Electricity charges			10.28			10.64
Water charges	0.50%		2.02			2.43
Entertainment	1%		0.03			0.47
Fees & subscription	1%		0.02			0.02
Printing & Stationery	1%		0.03			0.09
Advertisements, exhibition publicity	1%		0.15			0.13
Training expense			0.06			0.11
Miscellaneous Expenses	1%		0.64			1.05
Sports and related activities			0.07			0.06
License Fee and other related fee			1.55			0.99
V-sat, Internet and related charges	1%		0.14			0.12
Security arrangements			49.28			48.79
Computer Stationery	1%		0.01			0.02
A&G Expenses		**81.81**	**74.79**	**78.21**	**85.45**	**76.11**

30. The major expense claimed by the licensee under the head A&G is security expenses amounting to Rs.48.79 lakh and electricity charges amounting to Rs.10.64 lakh. The licensee in the petition stated that since CoPT is under security blanket as per ISPS regulations and is vulnerable to security threat, round the clock security arrangements is inevitable and accordingly 6 CISF constables have been posted at 110 KV system and Power House. The details of CISF Security staff employed solely for guarding distribution installations as given in the petition are as shown below:-

Table 16

Details of CISF Security staff deployed in distribution business

Particulars	2020-21	2021-22	2022-23	2023-24
No: of Personnel	231	148	139	133
Total cost of 6 personnel per annum (Rs. lakh)	**44.25**	**38.54**	**49.28**	**48.79**

31. ***The Commission while truing up the accounts for the year 2020-21, 2021-22 and 2022-23 had considered the expenses towards security expenses in full towards CISF security keeping the overall security scenario especially of coastal areas in mind and had approved security expenses.***

32. The Commission also considers that, the amounts booked towards the Power Equipment Testing fee for KSEB (Rs.4.24 lakh) and Energy Audit Fee (Rs.0.37 lakh) under Repair and Maintenance expenses should be part of Administrative and General expenses of the licensee as pointed out in para 28 of this Order.

33. ***Considering the details submitted in the petition, the Commission hereby approves Rs.80.72 lakh (Rs.76.11 lakh+ Rs.4.61 lakh) as A&G Expenses for the year 2023-24.***

Summary of O&M Expenses approved for 2023-24

34. The O&M expenses approved, which includes Employee costs (Rs.456.24 lakh), R&M expenses (Rs.28.12 lakh), and A&G expenses (Rs.80.72 lakh) totaling to Rs.565.08 lakh for the year 2023-24 is lower than the O&M expenses of Rs.577.39 lakh approved as per the Tariff Regulations, 2021. Hence, there is a gain of Rs.12.31 lakh (Rs.577.39 lakh – Rs.565.08 lakh). As per Regulation 14 of the Tariff Regulations, 2021, the aggregate gain on the controllable parameters is to be shared in the ratio of 2:1 i.e., 2/3rd of gain is to be retained by the licensee and 1/3rd is to be passed on to the consumers. The relevant portion of the Regulation is shown below.

14.Mechanism for sharing of gains or losses on account of controllable factors.

(1) The aggregate gain to the generating business/company or transmission business/licensee or distribution business/licensee or State Load Despatch Centre, as approved by the Commission, on account of controllable factors shall be dealt with in the following manner: -

(i) one-third of the amount of such gain as approved by the Commission shall be passed on to the consumers as rebate in the tariff ;

(ii) the remaining two third of the amount of such gain, may be utilized at the discretion of the generating business/ company or transmission business/ licensee or distribution business/ licensee:

35. The Commission had allowed retaining the benefit of efficiency gain to the licensee due to the O&M expenses incurred being lesser than the norms fixed and accordingly is eligible for the benefit as per Regulation 14 of Tariff Regulations 2021. ***Hence, the Commission hereby approves Rs.573.29 lakh as the Operation and Maintenance expenses after considering the gains on O&M expenses for the year 2023-24 as shown below.***

Table 17
O&M Expenses approved for the year 2023-24

Sl.no	Particulars	Rs. lakh
1	Total O&M expenses as per the Tariff Regulations	577.39
2	Total O&M expenses Trued Up	565.08
3	Total Efficiency Gain (1-2)	12.31
4	Efficiency Gain to be retained by the licensee (2/3rd of (3)) = 12.31*2/3	8.21
5	**Approved O&M expenses for the Truing Up of accounts (2+4)**	**573.29**

36. ***The Commission hereby approves the Total O&M expense of Rs.573.29 lakh for the year 2023-24 as against Rs.565.08 lakh claimed in the petition.***

Depreciation

37. In the petition for 2023-24, the licensee has claimed depreciation of Rs.98.88 lakh as against Rs.192.70 lakh approved in the Order on ARR&ERC dated 26.02.2024. The licensee in the petition stated that depreciation has been claimed as per Regulation 27 of the Tariff Regulations, 2021 and accordingly depreciation has been claimed @ 5.28% for assets during initial 13 years from the date of commercial operation. Further the licensee stated that for assets which have completed 13 years, net book value is written off over the balance useful life of asset.

38. The Commission vide truing up order dated 26-11-2024 in OP No.81/2023, has directed the licensee to treat the special revenue expenditure amounting to Rs.70.95 lakh for the year 2022-23 as capital expenditure. The licensee in the current petition has stated that, as Rs.70.95 was LoA, and the actual completed cost is Rs.70.92 lakh. As such the licensee has revised the depreciation claimed for the year 2022-23 by considering Rs.70.92 lakh. The depreciation claimed for the year 2023-24 and revised depreciation for the year 2022-23 is given below:

Table 18
Depreciation claimed for the year 2023-24 (Rs. lakh)

Asset Group	Gross fixed assets				Depreciation		Net fixed assets	
	At the beginning of the year	Additions during the year	Adjustment & deductions	At the end of the year	Additions during the year	Adjustment during the year	At the beginning of the year	At the end of the year
Distribution lines (LT lines)	33.11	0.00	0.00	33.11	1.40	0.00	28.49	27.10
Sub-station equipment's	3869.59	0.00	-22.50	3847.09	97.11	-18.96	1787.20	1686.55
Transformers (11KV)	370.28	0.00	0.00	370.28	11.58	0.00	93.68	82.10
Others	152.84	0.00	0.00	152.84	2.00	0.00	42.25	40.25
Meter Equipment's	68.62	0.00	0.00	68.62	3.00	0.00	50.00	47.00
Any other items (100 KWP solar panel)	57.92	0.00	0.00	57.92	2.75	0.00	48.40	45.64
Total	**4552.36**	**0.00**	**-22.50**	**4529.86**	**117.84**	**-18.96**	**2050.02**	**1928.63**

Table 19
Revised Depreciation calculation for the year 2022-23 (Rs. lakh)

Asset Group	Gross fixed assets				Depreciation		Net fixed assets	
	At the beginning of the year	Additions during the year	Adjustment & deductions	At the end of the year	Additions during the year	Adjustment during the year	At the beginning of the year	At the end of the year
Distribution lines (LT lines)	39.54	20.23	-26.66	33.11	1.22	-26.66	9.49	28.49
Sub-station equipment's	3824.13	50.69	-5.23	3869.59	110.91	-4.71	1847.23	1787.20
Transformers (11KV)	370.28	0.00	0.00	370.28	11.91	0.00	105.59	93.68
Others	152.84	0.00	0.00	152.84	-2.67	0.00	39.58	42.25
Meter Equipment's	68.62	0.00	0.00	68.62	5.10	0.00	55.10	50.00
Any other items (100 KWP solar panel)	57.92	0.00	0.00	57.92	2.75	0.00	51.15	48.40
Total	**4513.33**	**70.92**	**-31.89**	**4552.36**	**128.51**	**-31.36**	**2108.14**	**2050.02**

39. In the Order on truing up of accounts for 2022-23 dated 26-11-2024 (OP No.81/2023) the Commission had provisionally allowed Rs.135.57 lakh for the year 2022-23 and directed the licensee to submit supporting documents and revised fixed assets register with assets made during 2019-20 to 2022-23. The licensee has submitted the details regarding the asset additions of each year from 2019-20 to 2022-23 and also the workings of depreciation incorporating the assets additions made during these years. ***Upon examination of the submitted data, the Commission notes that the depreciation claimed by the licensee includes adjustments for depreciation on deleted assets. The Commission considers this approach inappropriate. Depreciation pertaining to deleted assets should be adjusted against the accumulated depreciation, rather than directly reducing it from the current year's depreciation claim. Thus, the Commission hereby approves depreciation amounts of Rs.128.51 lakh for the year 2022-23 and Rs.117.84 lakh for the year 2023-24, which is the amount prior to adjusting the depreciation for the deleted assets. The Commission also decides to clawback an amount of Rs.6.86 lakh (135.37 – 128.51) on account of excess depreciation provisionally approved in 2022-23. The clawback will be shown as a separate item under expenditure side as prior period item and the cumulative surplus is revised to that extent.***

Interest and Finance Charges

40. The licensee for the year 2023-24 has claimed a total interest and finance charges of Rs.60.57 lakh which includes an amount of Rs.24.93 lakh as the interest charges on long term loans, (-) Rs.2.80 lakh for interest on working capital and Rs.38.44 lakh as the interest on security deposit. A comparison of the interest and finance charges for over the years is tabulated below.

Table 20
Interest and finance charges for 2021-22, 2022-23 and 2023-24 (Rs. lakh)

Particulars	2021-22		2022-23		2023-24
	Truing Up Petition	Trued Up	Truing Up Petition	Trued Up	Truing Up Petition
Interest on long term loans	39.26	-	25.29	14.51	24.93
Prior period Interest and finance charges on long term loans	-	-	-	29.20	-
Interest on working capital	6.74	5.12	7.22	6.89	-2.80
Interest on consumer security deposits	22.24	22.24	21.87	21.87	38.44
Total	**68.24**	**27.36**	**54.38**	**72.47**	**60.57**

Interest and finance charges on loans

a. Interest on GOI Loan

41. As per the licensee, since the Port does not have any equity, the cost incurred for creation of assets attributed to the Electricity Distribution business is being met out of Government of India (GoI) Loans availed by CoPT. The licensee further stated that the Cabinet Committee on Economic Affairs (CCEA) has approved the proposal of the CoPT for waiver of penal interest on GOI Loans to the tune of Rs.897.23 Crore and scheduled the repayment of the principal plus interest amounting to Rs.558.53 Crore (Principal Rs.258.14 Crore + Interest Rs.282.85 Crore + Penal Interest Rs.17.53 Crore). As committed by the Port, repayment started in 2018-19. The first installment was paid in March 2019 the second installment was paid in March 2020. The licensee also stated that due to the financial crunch experienced by the Port owing to Covid-19 pandemic and subsequent reduction in cargo throughput, they have requested the Ministry for moratorium of the loan for 3 years and the ministry has approved the proposal for a moratorium period from 2020-21 to 2022-23 and scheduled the repayment of the balance amount from 2023-24. Port has not made the repayment in FY 2023-24 in view of the waiver of GOI loan proposal submitted to the ministry which is under process. Since no interest has actually been paid to the Government of India on the expectation of receipt of moratorium of loan from the Ministry, no amount is approved on this account. ***The licensee can claim this amount, as and when this payment occurs, in the petition for Truing Up of accounts of the relevant financial year and the Commission shall consider the same.***

b. Interest on Loan from CoPA for Capital Expenditure

42. In the current petition the licensee has stated that they have not incurred any capital expenditure towards distribution business during the year 2023-24. The licensee has proposed Rs.180.00 lakh towards capital expenditure for the year 2023-24 in the ARR petition but has not incurred any capital expenditure during the year. The licensee in the current petition has stated that, as per the original

sanction from the MoP, CoPA's work was to be carried out through KSEBL along with their works. But the rate quoted by the L1 bidder was on the higher side. So the tender was cancelled and PFC has directed to invite tender by CoPA itself. The interest on loan is recalculated by the licensee by taking the actual asset additions approved by the Commission in the previous truing up orders. Accordingly, the licensee has claimed Rs.24.93 lakh as interest on long term loans as shown below:

Table 21
Interest charges claimed for Loan from CoPA for CAPEX

Particulars	Rs. lakh	Remarks
Gross Loan -Opening	220.86	
Cumulative repayments of Loans upto previous year	-	
Net loan-Opening	220.86	
Add: Drawal(s) during the Year	70.92	Adjustment on previous year's addition and deletion on Assets during 2022-23
Less: Repayment (s) of Loans during the year	(18.60)	
Net loan - Closing	272.82	
Average Net Loan	**246.84**	
Rate of Interest on Loan on annual basis	10.10%	
Interest on Loan	24.93	

43. The Commission in the truing up order for the year 2022-23 has approved the interest on normative loan for the year 2019-20 to 2021-22 after considering the approved asset additions for the respective years and provisionally approved (Rs.14.51 lakh) interest on normative loan for the year 2022-23. Considering the decision taken in the paragraph 38 the approved interest on normative loan for the year 2022-23 and 2023-24 is shown below:

Table 22
Interest on normative loan approved by the Commission (Rs. lakh)

	Particulars	2022-23	2023-24
1	Opening GFA	252.41	323.33
2	Opening Cumulative Depreciation	27.60	42.80
3	**Opening Normative loan(1-2)**	**224.81**	**280.53**
4	Additional Normative loan during the year	70.92	0.00
5	Allowable depreciation as Repayment	15.20	17.07
6	**Closing Normative loan (3+4-5)**	**280.53**	**263.46**
7	Average Normative Loan	252.67	271.99
8	Rate of Interest (%)	6.65%	9.15%
9	Interest Amount	**16.80**	**24.89**

44. ***Therefore, the Commission hereby approves Rs.2.29 lakh (Rs.16.80 lakh - Rs.14.51 lakh) as prior period interest on normative loan for the year 2022-23 and Rs.24.89 lakh as interest on normative loan for the year 2023-24.***

c. Interest on Working Capital

45. The normative level of working capital and the interest thereon is computed as stipulated in the Regulation 32 (5) of the Tariff Regulation, 2021 which is quoted below;

32. Interest on Working Capital. –

(1) The generation business/ company or transmission business/ licensee or distribution business/ licensee or the State Load Despatch Centre shall be allowed interest on the normative level of working capital for the financial year, computed as under,-

……..

(v) In the case of distribution business/ licensee the working capital shall comprise of,-

a) operation and maintenance expenses for one month; plus

b) cost of maintenance spares equivalent to one-twelfth of the average of the book value of stores, materials and supplies at the beginning and end of the financial year; plus

c) receivables equivalent to the expected revenue from sale of electricity for two months at the prevailing tariff:

Provided that the amount, if any, held as security deposits except the security deposits held in the form of Bank Guarantee from the users of the distribution system and consumers shall be reduced while computing the working capital requirement:

Provided further that, in the case of distribution business/ licensees, who are supplying electricity to their consumers on prepaid metering system, interest on working capital shall not be allowed.

46. The interest on working capital is claimed by the licensee at the rate of 9.00% which is the prevailing MCLR rate plus two percent. The MCLR rate prevailing as on 1st April 2023 is 8.50%. The licensee has claimed an interest on working capital of (-) Rs.2.80 lakh as against Rs.28.35 lakh approved in ARR&ERC for the year 2023-24. The details of interest on working capital claimed by the licensee are as shown below.

Table 23
Interest on Working Capital claimed for the year 2023-24 (Rs. lakh)

Particulars	2023-24	
	ARR Approved	Truing Up Petition
O&M expenses - One Month	48.12	47.09
Maintenance Spares (as per norms)	-	
Receivables - Two Months (Revenue from sale of power)	669.83	661.53
Total (A)	717.95	708.62
Less:		
Security deposits from Consumers (B)	390.25	735.25
Total Working Capital (A)-(B)	327.70	(26.63)
Interest rate (SBI-EBLR+2%) (%)	8.65	10.50%
Interest on Working Capital (actual)	**28.35**	**(2.80)**

47. The licensee has worked out the interest on working capital requirement as per the provisions of the Tariff Regulations 2021, where the interest rate considered is

SBI 1 year MCLR rate. The Commission has observed that the security deposit maintained by the licensee is sufficient to meet the working capital requirements. The licensee has claimed a negative figure as interest on working capital. ***The Commission is of the view that as the security deposit held by the licensee is enough to cover the working capital requirement there is no point of claiming interest on working capital. Therefore, the Commission hereby disallows the claim of (-) Rs.2.80 lakh made by the licensee as interest on working capital for the year 2023-24.***

Interest on Security Deposits

48. The licensee has also claimed an amount of Rs.38.44 lakh as the interest on security deposit paid to the consumers of CoPA for the year 2023-24. The amount of security deposit from consumers for the year 2023-24 is Rs.735.24 lakh. There is increase in the security deposit compared to the previous year which was Rs.544.89 lakh. The Commission has analysed the details submitted by the licensee and has noted that, the security deposit of Rs.38.44 lakh was the interest for the year 2023-24. As per the regulation the interest on security deposit should be allowed on the basis of actual payment. ***Considering that the licensee has paid the actual amount of Rs.38.44 lakh for the year 2023-24, the Commission approves the same as interest on security deposit for the purpose of truing up of accounts for 2023-24***

49. Thus, the interest and finance charges approved for the year 2023-24 is as given below.

Table 24

Interest and finance charges approved for the year 2023-24 (Rs. lakh)

Particulars	ARR Approved	Truing up petition	Trued Up
Interest and finance charges on long term loans	468.58	24.93	24.89
Prior period Interest and finance charges on long term loans	-	-	2.29
Interest on Working Capital	28.35	-2.80	-
Interest on consumer security deposits and deposits from users of the distribution system	23.05	38.44	38.44
Total	**519.98**	**60.57**	**65.62**

Return on NFA

50. Regulation 28 of the Tariff Regulations, 2021 provides for Return on equity share capital or net fixed assets.

28. Return on Paid up Equity or Net Fixed Assets. –

(1). Return on equity shall be computed in rupee terms, on the paid-up equity share capital and shall be allowed at the rate of fourteen percent (14%) per annum:

Provided that in the case of increase in the equity share capital of the generating business/ company, transmission business/ licensee, distribution

business/ licensee and State Load Despatch Centre, the additional amount of equity share capital infused into the generating business/ company, transmission business/ licensee, distribution business/ licensee and State Load Despatch Centre, and approved by the Commission for the assets put to its intended use shall be provided with ROE at 14% per annum on pro rata basis from the date of issuance of the equity shares:

Provided further that the generating business/ company, transmission business/ licensee, distribution business/ licensee and State Load Despatch Centre shall provide the complete details of the source of funding for such equity share capital.

(2). If there is no equity share capital invested in the business or the equity invested in the regulated business of the generating business/ company or transmission business/ licensee or distribution business/ licensee or State Load Despatch Centre or such equity share capital is not clearly identifiable, return at the rate of 5.50 percent shall be allowed on the net fixed assets at the beginning of the financial year for such regulated business:

Provided that the net fixed assets shall be exclusive of the assets created out of consumer contribution, deposit works, capital subsidy or grants.

51. The licensee has claimed return on net fixed assets @5.50% at Rs.112.75 lakh for the year 2023-24. During the previous control period, the Return on NFA was allowed at a rate of 3% as per the provision of the Tariff Regulations, 2018. The Commission in the Tarff Regulations, 2021 has revised the return on NFA to 5.5%. The Commission while approving the ARR&ERC had only allowed a provisional RoNFA due to non-availability of complete information with regard to asset additions and life of the existing assets.

52. The licensee in the current petition has revised the calculation of RoNFA in accordance with the directives of the Commission vide truing up order dated 26.11.2024 after considering the approved capital additions. The RoNFA claimed by the licensee for the year 2023-24 is as shown below:

Table 25
Return Net Fixed Assets for the year 2022-23 and 2023-24 (Rs. lakh)

Particulars	2022-23		2023-24	
	Truing Up Petition	Trued Up	ARR Approved	Truing Up Petition
Net Fixed Assets net of Consumer Contribution &Grants (at the beginning of the year)	2099.68	**115.94**	Provisional amount of Rs.65.74	2050.02
Rate of return	5.50%			5.50%
Total return on net fixed assets	**104.83**			**112.75**

53. ***The Commission hereby approves Rs.112.75 lakh as RoNFA for the year 2023-24 as claimed by the licensee.***

Other item

54. In the current petition, the licensee has claimed Rs. 3.54 lakh under "Any other item – Loss on Sale of Capital Asset." The claim pertains to the deletion of an

asset valued at Rs. 22.50 lakh (Asset No. 11000149) from the distribution assets, which was subsequently sold as scrap for Rs. 1.45 lakh. Upon examination of the details submitted, the Commission is of the view that the reported loss has arisen primarily due to the delayed disposal of the asset. This reflects lack of prudent asset management on the part of the licensee. ***Accordingly, the Commission holds that the claimed loss cannot be admitted as a pass-through. Therefore, the Commission hereby disallows the claim of Rs.3.54 lakh as Any other item – Loss on Sale of Capital Asset made by the licensee for 2023-24.***

Revenue from Sale of Power

55. The actual revenue from sale of power for the year 2023-24 is Rs.3969.16 lakh from the sale of 394.59 lakh units. Compared to the previous year, there is increase in the sales and revenue. During the year 2022-23, the actual revenue from sale of power was Rs.3471.85 lakh for sale of 355.93 lakh units. During 2023-24, the major revenue is received from HT IV (A) Commercial category (Rs.2386.23 lakh). A comparison of the category wise revenue from sale of power for the years 2022-23 and 2023-24 is as shown below:

Table 26
Details of Revenue from Sale of Power for 2022-23 and 2023-24

Particulars	2022-23 Trued Up				2023-24 Truing Up Petition			
	Number of consumers	Units Sold (lakh units)	Total (Rs.lakh)	Avg. realisation	Number of consumers	Units Sold (lakh units)	Total (Rs.lakh)	Avg. realisation
LT I	430	8.16	42.51	5.21	412	9.75	59.00	6.05
LT II	2	1.02	9.46	9.27	-	-	-	-
LT IV A	2	0.30	2.97	10.06	15	2.90	22.11	7.62
LT VI A	12	1.03	7.34	7.12	12	2.02	14.13	7.00
LT VI B	26	1.20	9.62	8.02	24	1.26	10.11	8.04
LT VI B (G)	19	2.56	26.41	10.31	108	13.49	109.04	8.08
LT VI C	7	2.72	27.82	10.22	8	2.78	28.67	10.31
LT VI C (G)	12	0.75	8.40	11.25	13	2.78	30.43	10.96
LT VI F	4	2.10	20.66	9.84	6	3.07	30.56	9.97
LT VIIA Single Phase	273	3.66	34.17	9.33	285	3.84	37.01	9.63
LT VIIA Three Phase	199	30.73	386.66	12.58	251	38.64	482.96	12.50
LT VII B	57	0.07	0.48	6.74	53	0.48	3.33	6.88
LT VII C	1	0.00	0.02	15.30	1	0.00	0.02	87.13
LT VIII B – Street Lights	3	0.11	0.51	4.80	63	2.79	13.86	4.96
Self-consumption	105	16.37	135.78	8.29	-	-	-	-
Street Light- Self	1	3.21	14.70	4.58	-	-	-	-
HT I (A) Industry	1	5.07	42.92	8.47	1	8.21	68.33	8.32
HT II (A)	6	16.65	140.38	8.43	6	18.90	158.07	8.36
HT II B Central Govt	1	3.79	36.55	9.64	1	4.17	41.97	10.07
HT IV (A) Commercial	24	196.37	1982.90	10.10	25	229.73	2386.23	10.39
HT IV (B) Hotel	4	60.06	541.62	9.02	4	49.79	473.33	9.51
	1189	**355.93**	**3471.85**	**9.75**	**1288**	**394.59**	**3969.16**	**10.06**

56. The licensee in the current petition has claimed Rs.334.53 lakh, the actual revenue from sale for the month of April 2023 as prior period income during the current year as a one-time measure to offset the timing difference. The licensee states that they had claimed the revenue from sale of power for the year 2022-23, by taking the actual revenue received by them till March 2023, which turns to be the amount billed for the month of February 2023. Thus, the revenue sale for the month March 2023 was not recorded as income in the previous year***. The Commission has analysed the details submitted by the licensee and hereby approves Rs.334.53 lakh as prior period income.***

57. As compared to previous year there is an increase in sales units and revenue. Considering the improvement in the sales, ***the Commission approves the actual revenue of Rs.3969.16 lakh realized for the year as the revenue from sale of power for 2023-24.***

Non-Tariff Income

58. The licensee has booked an amount of Rs.61.23 lakh as non-tariff income for the year 2023-24. The licensee has submitted that out of the total income, Rs.13.09 lakh is towards miscellaneous receipts (which includes income from sale of scrap Rs. 1.45 lakh) and Rs.8.04 lakh towards interest on the security deposit held by KSEB Ltd and Rs.40.10 lakh as interest from bank (Interest on FD on security deposit remitted by consumers to CoPT). The Non-tariff income claimed by the licensee for the year 2022-23 and 2023-24 are summarized below.

Table 27
Non-Tariff Income for the year 2022-23 & 2023-24 (Rs. lakh)

Particulars	2022-23		2023-24	
	Truing Up Petition	Trued Up	Approved in ARR	Truing Up Petition
Interest on the Security Deposit held by KSEB	36.33	36.33	30.24	48.14
Interest from Bank				
Miscellaneous Receipts	9.02	9.02	8.09	11.64
Income from Sale of Scrap	-	-	5.51	1.45
Interest on Accumulated Surplus	-	193.49	161.27	-
Total	**45.34**	**238.84**	**205.11**	**61.23**

59. As per the Order on the truing up of accounts for the Financial Year 2022-23 dated 26-11-2024, the licensee is holding an accumulated surplus of Rs.4605.05 lakh. The Commission while issuing the Order on truing up for the year 2022-23 had considered an amount of Rs.193.49 lakh as the interest on accumulated surplus. The Commission while issuing the Order on the ARR & ERC for the year 2023-24 had also considered the interest on accumulated surplus as part of non-tariff income. Accordingly, the interest on the revenue surplus is approved at the rate of 6.80% per annum (SBI retail term deposit rate for a tenure up to one year

prevailing as on 01.04.2023) amounting to Rs.313.14 lakh (Rs.4605.05 lakh x 6.80%). Of the above, the licensee has already accounted Rs.48.14 lakh as interest from bank and other deposits. ***The balance amount of Rs.265.00 lakh (313.14 – 48.14) is approved***. Thus, the total non-tariff income approved for the year 2023-24 is as shown below:

Table 28
Non-Tariff Income approved for the year 2023-24 (Rs. lakh)

Particulars	Approved in ARR	Truing Up Petition	Trued Up
Interest on Security Deposit held by KSEB Ltd	30.24	48.14	48.14
Interest from Bank			
Miscellaneous Receipts	8.09	11.64	11.64
Income from Sale of Scrap	5.51	1.45	1.45
Interest on Accumulated Surplus	161.27	-	265.00
Total	**205.11**	**61.23**	**326.23**

60. ***The Commission hereby approves the Non-tariff income of Rs.326.23 lakh for the year 2023-24.***

Revenue (Gap)/Surplus after Truing Up of Accounts for 2023-24

61. The licensee in the petition for truing up has claimed a revenue surplus of Rs.664.42 lakh as against the approved revenue gap of (-) Rs.98.76 lakh for the year 2023-24. The approved Total Expenditure and Total Revenue for the year 2023-24 after truing up are as shown below.

Table 29
Income and Expenditure after Truing Up of Accounts for 2023-24 (Rs.lakh)

Particulars	ARR Approved	Truing up petition	Trued up
Cost of own power generation/power purchase	2967.04	2859.68	2862.11
Employee Expenses	458.18	456.24	573.29
Administration & General Expenses	85.45	76.11	
Repair & Maintenance Expenses	33.76	32.73	
Depreciation	192.70	98.88	117.84
Claw back of Depreciation	-	-	(6.86)
Interest and finance charges on long term loans	468.58	24.93	24.89
Prior Period interest on normative loan	-	-	2.29
Interest on Working Capital	28.35	(2.80)	0.00
Interest on consumer security deposits and deposits from Users of the distribution system	23.05	38.44	38.44
Return on Equity /Net Fixed Assets	65.74	112.75	112.75
Any other Item	-	3.54	0.00
Total Expenditure	**4322.85**	**3700.50**	**3724.75**
Revenue from Sale of Power	4018.98	3969.16	3969.16
Prior period income	-	334.53	334.53
Other Income	205.11	61.23	326.23
Total Income	**4224.09**	**4364.92**	**4629.92**
Revenue Surplus/Gap	**-98.76**	**664.42**	**905.17**

Orders of the Commission

62. The Commission after considering the petition filed by M/s. Cochin Port Authority for Truing Up of Accounts for the year 2023-24, views presented by the licensee during the hearings and the clarifications and details provided by the licensee approves the following:

    a) ***Total income for 2023-24 is Rs. 4629.92 lakh***

    b) ***Total expenditure for 2023-24 is Rs. 3724.75 lakh***

    c) ***The revenue surplus for the year 2023-24 is Rs. 905.17 lakh***

    d) ***Total cumulative revenue surplus till 2023-24 will be Rs.5510.22 lakh (Rs.4605.05 lakh as opening cumulative revenue surplus + current year revenue surplus of Rs.905.17 lakh). The licensee shall keep the surplus arrived at after the truing up process in a separate fund and utilize it as per Orders of the Commission.***

63. The petition is disposed of. Ordered accordingly.

Sd/-	Sd/-	Sd/-
Sri. T.K Jose	**Adv. A. J. Wilson**	**Sri. B. Pradeep**
Chairman	**Member**	**Member**

Approved for issue
Sd/-
Mohanakumar B V
Secretary i/c